Chapter Forty-Two

State of Tax and Non-Tax Revenues

State of Taxes

2019–20: Tax Revenue Estimates were Presented Twice

For financial year 2019–20, the Budget was presented twice. First, the interim Budget was presented on 1 February 2019. Later, when the NDA government had returned to power in the May 2019 elections, the regular Budget was presented on 5 July 2019.

Net tax revenues to the Centre (both direct and indirect taxes together after removing the share of states in the gross tax revenues) for 2019–20 were estimated at Rs 16.50 lakh crore in the regular Budget. Net tax revenues to the Centre were estimated to be Rs 17.05 lakh crore. The estimated net tax revenue to the Centre was thus reduced by Rs 0.55 lakh crore in the regular Budget.

There were revisions in the gross tax revenue estimates as well. The Budget paper presents gross estimates of individual tax revenues and makes a single deduction for the share of states in the gross tax revenues. For 2019–20, gross tax revenues were estimated at Rs 25.5 lakh crore, which were Rs 24.6 lakh crore in the regular Budget. The details of states in each of the central taxes is presented in a separate annexure.

Both the interim Budget and regular Budget presented revised estimates of gross and net tax receipts at Rs 22.47 lakh crore and Rs 14.84 lakh crore. The Budget net tax revenues of the Centre (Rs 16.50 lakh crore) were thus estimated to grow over the revised estimates of 2018–19 (Rs 14.84 lakh crore) by 11.18 per cent.